Vermont AI Guidance: Data and Student Privacy Passages

Excerpted verbatim from *Vermont AI Guidance for Education, Version 1.0 (Vermont Agency of Education, issued January 23, 2026)*. Page numbers match the document's own page numbering. Ellipses (…) mark omitted text.

Key Concerns for AI in Education (excerpt)

Source: page 7

- **Data privacy and security** Student data and intellectual property must be protected when using AI systems to comply with FERPA, COPPA, and potentially HIPAA requirements. Learn how to protect student data.

Principle #1: Opportunities With Student Data

Source: page 11

Caution: Never put student data into an AI system unless the district's IT department has vetted that system and has authorized its use in this way.

While most systems today don't interact directly with district data systems, this will change in the next few years, with SIS (Student Information System), LMS (Learning Management System) and MTSS (Multi-Tiered System of Supports) platforms building AI integrations directly into their systems enabling new tools for teachers and administrators that leverage rich and up to date information about students.

Principle #1: Cautions (Student Data Privacy, Student Intellectual Property)

Source: page 12

Student Data Privacy

Federal and state laws mandate that districts and schools protect students' data and privacy. Learn more about safeguarding student data privacy.

Student Intellectual Property

AI systems, not vetted by school districts, may be training their AI model using data from chat conversations. Learn more about safeguarding student data privacy.

When to Avoid Using AI (excerpt)

Source: page 13

- Legal or compliance documentation – Districts should seek legal advice before approving AI usage for IEP goals, 504 plans, or mandated reporting situations.
- Medical-related information – Unless the IT Department has specifically vetted an AI solution for HIPAA compliance, staff should avoid entering any medical-related information into an AI system.

Principle #2: Personalized Learning, Accessibility and Special Education Documentation (excerpts)

Source: pages 15–16

- **Note-taking and live captioning:** AI can be utilized for live captioning and for notetaking purposes. When utilizing these technologies, work with district technology staff to identify solutions that meet the privacy needs of schools, as many of these solutions are not built specifically for education.

In addition to these uses, AI can be used to help with special education documentation (e.g. IEPs, 504 plans); however, using AI in this way presents significant concerns that should be addressed before implementation. IEPs and 504 plans are the foundations on which special education services stem from, and using AI poses a danger of losing essential professional assessment and breaching of personally identifiable information (PII) protection.

The most important step in using AI tools in this context is to have human oversight every step of the way. For example, IEP goal generation can be done using AI, but the prompt and content to generate the goal requires a secure FERPA compliant system and should be reviewed by the IEP team for relevance to the student's capabilities and needs.

Risk Mitigation Strategies: Risk of Doing Nothing (excerpt)

Source: page 22

Staff may utilize public AI systems in ways that risk data privacy.

Data Privacy

Source: pages 25–26

Schools need to protect student data, conforming to both FERPA and COPPA. In addition, generative AI uses data to train AI systems, and schools should be concerned about the intellectual property of students being utilized to train these systems.

Providing teachers and students with approved, secure AI systems is one of the best ways to protect student data. A separate section of this guide covers tool vetting in depth. When schools do not provide official tools and clear instructions for these tools, teachers and students will be tempted to utilize public AI systems instead.

It is not enough to remove student-identifiable information before submitting student work to an AI system. This still exposes the student's intellectual property to the system. SU/SDs should have a privacy agreement with vendors that include promises not to train AI models based on chat conversations. This is the case for education-specific AI systems as well as generic systems with AI versions (Gemini for Education).

Health Insurance Portability and Accountability Act (HIPAA) data (medical data) is a particular concern, as it has requirements that are not a part of FERPA or COPPA. Most educational AI systems have not been designed to comply with HIPAA. In many cases, it is simpler for schools to avoid the use of AI for HIPAA protected data. In the future, it is likely that there will be use cases that involve the use of AI, but initially, it may be simpler for schools to avoid the use of AI with HIPAA protected data.

Mental Health Risks (excerpt)

Source: page 26

To ensure student safety, staff must proactively direct students to school counselors, social workers, or psychologists for confidential, evidence-based support.

Needs Assessment: Policy & Governance (excerpt)

Source: page 32

- Has guidance with respect to protecting student data privacy been given to staff and educators?

Needs Assessment: Infrastructure & Support (excerpt)

Source: page 33

The Tool Vetting Framework provides guidance for evaluating and approving AI tools while ensuring compliance with data privacy requirements.

- Are these tools approved by IT?
- Are there ways to audit the usage of these AI tools?

Tool Vetting Framework (excerpts)

Source: pages 34–36

In general, approving an AI tool for use in a school district is very similar to any other educational technology tool that can store FERPA protected data. These systems do introduce some unique challenges, however. The Future of Privacy Forum released a guide that goes into some of the unique challenges of these tools: Vetting Generative AI Tools for Use in Schools. (Sallay, 2024)

Generic Chatbots

Google trained an LLM AI specifically for education, LearnLM, and their AI is covered by their educational privacy policy (when using school accounts only) which gives it an advantage over other generic chatbots. …

Google is providing some auditing features with Gemini. Unfortunately, as of this document's release, they are quite limited and require a Google Administrator. This means that teachers are unable to have full access to all of the conversations that their students have with Gemini. Even for a Google Admin, most of the access is through Google Vault and only applies to the standalone Gemini app and not where the app is embedded into other Google tools. IT departments need to actively set the conversation retention settings and teachers need to clearly understand which conversation should not occur in Gemini in apps because of the lack of retention/logging.

Generic Chatbots for Teachers

Providing teachers with access to an official AI tool can mitigate the risks of teachers using public chatbots with student protected data.

Audio and Meeting-based AI: Concerns

- Privacy being violated through the use of insecure systems or oversharing of generated notes. FERPA and HIPPA (medical data) rules need to be enforced. Because it is impossible to control the content of a conversation, vetted tools must assume the highest level of privacy requirements.
- Students recording class and sharing generated transcriptions or notes in inappropriate ways.
- Recordings made secretly without the awareness of all participants

Audio and Meeting-based AI: Actions to take

- Ensuring that schools have policies/procedures in place govern recordings made in class by both students and staff
- Providing staff with vetted tools to use if recordings are allowed

Education Specific AI Chatbots for Students (excerpt)

Consider what management tools the teacher has access to and whether they can review the conversations that the students engage in.

Frequently Asked Questions: Which AI tools can I use in my classroom? (excerpt)

Source: page 38

Most supervisory unions and districts maintain an approved list of software that can be used in the classroom and that store student data. FERPA, COPPA and other applicable laws govern how student data must be handled. Most districts have signed data privacy agreements with specific vendors and require that teachers utilize these vendors platforms. You should reach out to your district technology team to determine which AI tools you may use. This guide includes information on how to properly vet and approve AI applications for use in districts.

Quick Start Guide: Elementary Educators and IT & School Leaders (excerpts)

Source: pages 44, 47

- Part 3: Responsible AI Usage - Learn about data privacy, bias, and when NOT to use AI
- Tool Vetting Framework - Establish procedures for evaluating and approving AI tools
- Data Privacy - Ensure FERPA, COPPA, and HIPAA compliance